



Let's chat

Estate planning

Housekeeping

Before we start

- Cyber alert
- AML obligations
- ID documents to sight
- Full names – correct spelling and pronunciation
- Intentionally ‘non-technical’ – ask if you’re curious
- Non-relevant slides are skipped
- Complex estates (?)
- Feel free to ask questions at any point

Why full information matters

- If we’re not given the ‘full picture’, your estate planning arrangements may not be carried out as intended:
 - not telling us of key relationships may result in unexpected Will challenges
 - not telling us of structures may mean assets don’t pass as you intend
 - not telling us of residency status may cause adverse tax consequences
 - ...and more

SECTION 1

About you and your objectives

Your details

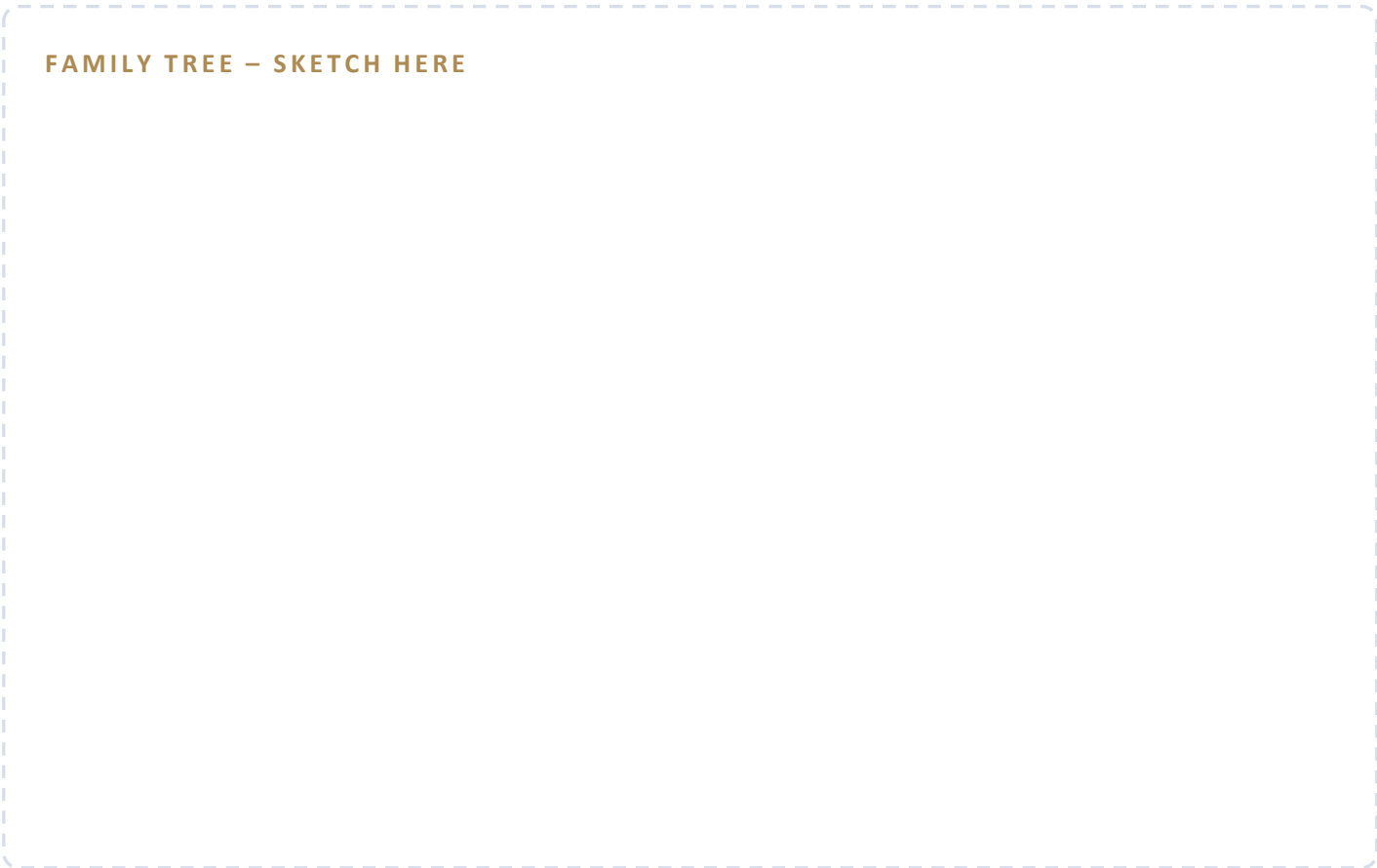
- Verification of ID
- Full name, aliases / former name
- Address, phone and email
- Date of birth, occupation, preferred language
- Any rush for the estate plan? Unwell, or going overseas?
- Prior Wills? Foreign Wills? Mutual Wills? Reason for change?

Family and key persons

Please provide the following for your immediate family, people you want to benefit, key persons for your Will, and anyone who may be unhappy with it:

- Full names and other names they go by
- Relation to you (including if ‘step’ or ‘adopted’)
- Your relationship with that person (great, good, alright, estranged)
- Age and place of residence
- Other relevant details – health, bankruptcy, occupation, past history

FAMILY TREE – SKETCH HERE

A large dashed rectangular box with a light blue border, intended for sketching a family tree. The text "FAMILY TREE – SKETCH HERE" is written in a bold, brown, sans-serif font at the top left of the box.

Assets and liabilities

Please provide the following for significant assets or debts you own, directly or indirectly:

- Specific details about the asset, including who legally owns it
- Market value, linked debt, and approximate equity
- Who should benefit, including any particular 'directions'
- Where the asset is located (interstate or overseas?)
- Anyone who helped contribute to acquiring the asset?

STRUCTURE DIAGRAM – SKETCH HERE

Your objectives

Prior Will

- Any prior estate planning documents? Reason for updating? Does it still make sense?

In your own words:

- Who do you want to benefit from your assets?
- Who do you want in charge of those assets? (relevant if beneficiaries are minors)
- Who should look after any minor children, if applicable?
- Are there particular people you do not want benefiting from your assets?
- Consider different alternatives, scenarios and backups

Considerations for minors

- Should the same people manage the finances and care for the minors?
- Should a representative from each side of the family be involved at a decision-making level?
- Carers hold all rights and responsibilities for long-term care, welfare and development of the child (e.g. education, religion)
- Consider the practical implications if guardians don't live with the minors

SECTION 2

How can we achieve your objectives

More than a Will

Assets can be held in different ways – personally, jointly, through super, trusts or companies – and how they’re held changes what needs to be done. A Will might not be enough.

Ownership	What governs	What to look for	How it can pass
Personal	Will – if no Will, the law	N/A	Directly, or control over the asset
Superannuation	Super documents & beneficiary nominations	Is there a binding beneficiary nomination?	Directly (limited people), or control via SMSF
Jointly	The law or your Will (depending how owned)	Joint tenants or tenants in common	Depends on how the joint interest is owned
Company	Company constitution; legal owner of shares	Who is the director or shareholder?	Can’t pass the asset directly; can pass control
Trust	Trust document, or trust law	Who is the trustee or appointor?	Can’t pass the asset directly; can pass control
Partnership	Depends how owned & third-party agreements	Depends on how owned	Depends on how owned

Estate challenges – grounds & protection

Family provision claims

- Eligible persons generally include spouses, children and dependants – can include parents, ex-spouses and people you provide maintenance to
- Must prove not adequately provided for, based on various factors
- Persons with special disabilities have a greater claim
- Only affects assets going into your Will – except NSW

Making provision / bypassing the Will

- Joint tenancies
- Direct superannuation nominations
- Separate successor control documents
- Restructuring; gift and loan-back arrangements; call options
- Formal or informal declarations
- Or: roll the dice and let the Court decide

Estate challenges – factors & other grounds

Factors a Court considers

- Eligible person's financial position, now and in the future
- Ability to meet financial obligations
- Physical, intellectual or mental disability
- Size of the estate
- Contributions to the deceased's estate or welfare
- Competing claims from other beneficiaries
- Standard of living during the deceased's lifetime
- Relationship with, and wishes of, the deceased

Other ways to challenge a Will

- Markings suggesting tampering or missing pages
- Invalid Will – not executed properly
- No capacity to make the Will
- Promises made to a person, but not kept in the Will

Superannuation

Nominations & SMSF

- Super is not automatically part of your Will
- Nominate: legal personal representative, spouse, children or dependants
- Binding or non-binding – retail/industry funds you can do yourself
- To your estate, or directly to an individual – depends on tax, timing (estate pay-outs are slower) and your intentions
- Transfer balance cap may need consideration
- SMSF: a lawyer should review the governing documents, follow the procedure and consider control mechanisms
- Consider a binding nomination to remove ambiguity or dispute

Tax on death benefits

Super is broken into tax-free and taxable components.

Recipient	Tax treatment
Spouse, minor children, dependants	Both components received completely tax-free
Everyone else (incl. adult independent children)	Tax-free stays tax-free. Taxable: 15% + Medicare (direct), 15% (via estate), or 30% in certain circumstances

If paid to the estate, whether it's taxed depends on who ultimately benefits (a 'look-through' approach).

Jointly held assets

Joint tenants

- Rule of survivorship
- Death of a co-owner means the surviving co-owner automatically receives the asset

Tenants in common

- Each co-owner owns a specific percentage in the asset (e.g. 50%, 99%)
 - all percentages add to 100%
- Death of a co-owner means their share goes into their Will

Assets can be held jointly in different ways – it's worth considering whether one manner suits you better than another.

Trust, company & business assets

	Trust	Company	Business / partnership
Governing document	Trust deed (or trust law if unclear)	Company constitution	Partnership deed / shareholders or unitholders agreement, buy-sell deed
Who controls it	The trustee or appointor	Directors enforce the rules; shareholders can dictate who the directors are	Depends on how the business is owned
On your passing	Can't pass the trust asset directly – control passes per the trust deed's 'rule book'	The company doesn't pass away with you – the question is who becomes the shareholder	Consider what happens if a key person passes away

If your intentions differ from the existing rule book, changes are needed and it should be reviewed. Where there are multiple owners, all parties should be part of the succession discussion.

Overseas assets & other issues

Overseas assets / beneficiaries

- Get a Will in that country!
- Consider tax issues for overseas beneficiaries (CGT event K3)
- FIRB and other surcharges may apply for 'foreign persons'

Other issues to consider

- Funeral arrangements (recommended in a memo of directions)
- Digital assets (pass under Will, or licence only)
- Intellectual property (artwork, music, etc.), cryptocurrencies
- Loan accounts, liabilities and personal guarantees
- Life interests, binding financial agreements, other agreements

Flexibility & memo of directions

Flexibility

- How flexible do you want to leave things? The more 'set in stone', the more complicated it is to implement
- We've discussed giving assets directly vs passing control – control has benefits, but also disadvantages
- Think: if the people in control could take the assets for themselves, would you trust them not to?
- If not: keep things simpler, appoint multiple people, or include an independent person

Memo of directions

- A 'guideline' document – can be a blank page, or the template we provide
- Lets you outline your thinking without fear of being too restrictive; wording can be personal and 'lax'
- Gives those looking after your affairs something to refer to
- Non-binding – lets those in control adapt if directions aren't appropriate at the time (we're not mind readers!)
- Keep a signed copy with your Will, and consider circulating it to key persons

Will

Two general types of Will:

- ‘Simple’ Will – gives the assets that go into your Will directly to people (maybe with some conditions attaching)
- ‘Testamentary trust’ Will – gives chosen assets into a special structure that can be used for the benefit of a range of people; offers added benefits in exchange for more complexity
- We’ll discuss the advantages and disadvantages of each approach, and recommend what should suit you

What is a testamentary trust?

A 'trust' is a relationship where somebody legally (the trustee) holds something (assets in the trust) for others' benefit (the beneficiaries).

The basics

- 'Testamentary' – created after you pass away; the assets form part of your Will
- Lasts 80 years in all Australian jurisdictions other than South Australia (unlimited) and Queensland (125 years)
- Beneficiary class limited to named persons and lineal descendants
- May exclude foreign persons if property passes into the trust

Protection

- The greater the divide between trustee and beneficiary, the stronger the protection
- Impossible to structure perfectly without predicting the future
- An initial set-up in the Will lets recipients restructure at the appropriate time
- If there's a known threat, we can structure the trust from the outset
- Again – the less control beneficiaries have, the greater the protection
- Family law case – Bernard

If this concept isn't landing after these slides, let us know – this structure may not suit you.

Benefits and disadvantages

Advantages	How	Disadvantages
Asset protection	People who may be sued do not receive assets in their name	Concept can be difficult to understand
Flexibility & control over succession	Mechanisms allow control to be passed down in various ways	More thought required when preparing your Will
Tax planning opportunities	Ability to distribute to a range of people	Tax can be tricky to understand
Reduced future transaction fees	Potential tax exemptions available (as at date of this presentation)	Ongoing administration costs once created

Testamentary trust & tax planning

- Note ‘Genuine’ Testamentary Trusts excluded from proposed 30% Trust Distribution Tax
- Requires beneficiaries of the testamentary trust to be limited to individuals and charities (companies and trusts are not included as potential beneficiaries)
- Assets outside a deceased’s estate cannot be injected into the testamentary trust (noting only assets of a deceased’s estate forms part of the initial assets of the testamentary trust)

Minor receiving distributions from discretionary trust

Income	Tax
\$0 – \$416	Nil
\$417 – \$1,307	Nil, plus 66% of excess over \$416
Over \$1,307	45% of income that is not excepted income

Excepted income includes income of a trust estate resulting from a Will – s102AG, ITAA 1936.

No testamentary trust

Minor receiving distribution from ‘genuine’ testamentary trust

Income	Tax
\$0 – \$18,200	Nil
\$18,201 – \$45,000	16% above \$18,200
\$45,001 – \$135,000	\$4,288 + 30% above \$45,000
\$135,001 – \$190,000	\$31,288 + 37% above \$135,000
\$190,001+	\$51,648 + 45% above \$190,000

With testamentary trust

How many testamentary trusts?

Single	Multiple
Unable to clearly split assets	Ability to clearly split assets between different trusts
Commonly used when benefiting minors – no need for separate trusts	Beneficiaries have increased autonomy
Beneficiaries are able to work together	Beneficiaries are unable to work together
Greater sense of shared purpose	Beneficiaries have separate personal risk / tax profiles
Simpler – only one trust to administer	Needs sufficient assets to justify each trust (~\$400,000 per trust, at least)

SECTION 3

Your estate plan and our advice

Personal assets – Will

- Contemplation of marriage or divorce?
- Only governs Australian assets, and revokes Australian Wills
- Testamentary trust used?
- Executor? Guardians?
- Specific gifts? Personal Property*? Everything else?

Will – executor & guardian

Executor

- Role can be held jointly – maximum four
- Risk of abuse if one person ‘goes rogue’
- Charging clauses

Guardian (if required)

- Only relevant where minor children are involved
- Should reflect who you trust to raise your children

Role	Initial	Backup
Executor		
Guardian (if required)		

Will – specific gifts

- Given unencumbered or encumbered?
- With, or without, any income it produces?
- Backup persons? Delayed distribution (e.g. not until a certain age)?
- Charities – name them, or at the discretion of executors
- Insufficient funds? In-specie tax consequences?
- Life interest and right to occupy (adds complexity)

GIFTS TO RECORD

Will – Personal Property* & everything else

Personal Property – common household items are dealt with separately so they don’t need to be divided equally between multiple people. These assets are directed to individuals rather than other entities (such as testamentary trusts).*

NAMES

EVERYTHING ELSE – NOTES

Will – testamentary trust

- How many trusts? Primary beneficiary?
- Beneficiaries – default is the bloodline of the primary beneficiary
- Trustee? (Executor, or someone else?)
- Appointor? (Executor, or someone else?) – suggest aligning trustee and appointor initially
- Special rules needed, if a memo of directions isn't enough?
- Standard terms otherwise apply, to allow flexibility for future tax planning

Enduring power of attorney

Overview

- Applicable while you're living
- Covers financial decisions (immediately, or only on loss of capacity) and personal/health decisions (only on loss of capacity)
- Doesn't deal with serious health issues – that's an advance health directive
- Lets you record comments about your personal views and wants for your attorney to consider
- Our practice: maximum flexibility for your attorney, on the basis they must notify and update certain people
- We'll provide an EPA explanatory guide with some takeaway information today

Attorney duties

- Apply the general and health care principles prescribed by law (i.e. respect your rights)
- Act honestly and with reasonable diligence in your best interest
- Consult with any other attorney appointed at the same time, and not act against your interest
- Not inappropriately disclose confidential information
- Invest only in 'authorised investments' – those a prudent person, or a tribunal, would approve
- Keep accurate records and accounts of all dealings and transactions
- Keep their property separate from yours

We allow some flexibility for conflict transactions, but these must still be made with the above duties in mind.

EPA – financial & personal powers

Financial decisions

- Your attorney can do any financial transaction you can (bank accounts, home, investments) – duties apply
- Specific power can be given to:
 - allow conflict transactions
 - allow gifts on your behalf
 - allow updating super nominations
- Must notify certain people – 2 updates a year, plus retain significant records (professional fees allowed)

Personal / health decisions

- Your attorney can choose where you live and what you do
- Must notify people before commencing the exercise of their power, including if changing:
 - who you interact with
 - where you live
 - a procedure ordinarily requiring your consent

EPA – who to appoint

- Someone you trust, who can follow the duties as required and account accordingly
- Breaching the attorney duties could mean criminal liability, compensation and accounting for profits
- Can appoint multiple people at one time
- Consider: jointly (max. 4 acting together), severally, by majority, or a combination (e.g. 2 of 4)

ATTORNEYS TO RECORD

Advice in relation to other assets

- Superannuation, joint assets, trusts, companies
- Broader entity advice – financial statements, governing document review, and entity power of attorney
- Business / partnership assets, overseas assets
- Estate challenge strategies
- Recommendations documented via a ‘to-do’ list

When to update your arrangements

- Change of name
- A named person dies or suffers a disability
- Changes in relationship status to anyone named in your documents
- Changes to your personal circumstances with certain people (e.g. becoming estranged)
- Wanting a mutual Will
- Wanting to change the structure or gifts under your Will
- Buying property jointly without understanding what happens to it on your passing
- Establishing new structures where you don't know how control passes

Next steps

- Documents drafted; to-do list prepared
- Second meeting to explain documents, answer queries, or make additional changes
- Second meeting can walk through documents, as they may be very detailed
- Reviewed the documents with no changes needed? Let us know in advance and we can arrange signing at the second meeting
- Further items in the to-do list may still need to be actioned

Second meeting

Date	Time



Contact details

Darius Hii

Tax and estate planning lawyer; Chartered Tax Advisor; Director at Chat Legal

E: darius@chatlegal.com.au P: 0403 923 374